

Berkshire Hathaway Inc. (BRK-B.US)

Financial Services · Insurance - Diversified

Large Cap (>\$200B) · Report Date: June 25, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-25

UNDERWEIGHT

Blended Target: \$295.86

DCF + Comps + Analyst (see cross-check table)

Implied upside: -40.0%

Price (Jun): \$493.11

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$295.86 (-40.0% vs \$493.11); multi-method valuation after outlier checks.
- Modest revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- Moderate revenue expansion (4.4% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Berkshire Hathaway Inc. (BRK-B) — Financial Services. Berkshire Hathaway Inc., together with its subsidiaries, engages in the insurance, freight rail transportation, and utility businesses. The company provides... **UNDERWEIGHT** rating; blended target \$295.86. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.06T	Shares Out.	1398.3M
52-Week Range	\$455.19 – \$516.85	P/E (TTM)	14.7x
P/B	0.0x	Beta	0.62
Avg Volume	5.01M	Analyst Rec.	None
Revenue (TTM)	\$375.39B	Rev Growth	+4.4%
Op. Margin	14.4%	FCF (TTM)	\$25.04B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	424,232	410,522	428,585	445,000	460,268
Revenue Growth (%)	N/A	-3.2%	4.4%	3.8%	3.4%
Net Income (\$M)	88,995	66,968	69,915	72,592	75,083
Net Income Growth (%)	N/A	-24.8%	4.4%	3.8%	3.4%
Gross Margin (%)	N/A	N/A	27.8%	27.8%	27.8%
Net Margin (%)	21.0%	16.3%	16.3%	16.3%	16.3%
ROE (%)	13.7%	9.3%	9.7%	9.2%	9.0%
EPS (\$)	63.64	47.89	50.00	51.91	53.70
Book Value / Share (\$)	464.40	513.06	513.06	565.65	593.93
P/E (x)	7.75	10.30	9.86	9.50	9.18
P/B (x)	1.06	0.96	0.96	0.87	0.83
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	N/A	N/A	0% (excluded)	Not in blend
Profile template weights	—	—	—	Insurance / diversified financial: Comps 70%, Analyst 30%
Comps — P/B (peer median)	\$1080.28	+119.1%	—	Peer median P/B 2.1x
Comps — Blended (avg. of available multiples)	\$1080.28	+119.1%	0% (excluded)	Diverges above other methods (208% of median)
Analyst consensus (Yahoo Finance)	\$520.33	+5.5%	20% (pre-cap)	Included in pre-audit blend; final target audit-adjusted
Blended target (weighted)	\$295.86	-40.0%	100%	Analyst 20%; pre-cap \$104.07 -> \$295.86
Audit (≥30% vs price)	—	—	—	Target capped at ±40% vs price (model dispersion)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	4.00%
FCFE growth	0.00%
Base FCFE	N/A
PV explicit (5Y)	N/A
PV terminal	N/A
Equity value (adj.)	N/A
Implied price	N/A

INDUSTRY ANALYSIS

1. Industry Overview

Berkshire Hathaway Inc., together with its subsidiaries, engages in the insurance, freight rail transportation, and utility businesses. The company provides property, casualty, life, accident, and health insurance and reinsurance; operates railroad systems in North America; generates, transmits, stores, and distributes electricity from natural gas, coal, wind, solar, hydroelectric, nuclear,...

2. Key Trends

- Moderate revenue expansion (4.4% YoY)
- Healthy operating margins (14.4%)
- Defensive profile (β=0.62)
- Sector: Financial Services | Industry: Insurance - Diversified

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
PGR	Progressive Corporatio	\$128.35B	11.2x	8.9x	12.9%	+8.7%
TRV	The Travelers Companie	\$68.96B	9.7x	6.7x	15.5%	+1.0%
ALL	Allstate Corporation (	\$60.72B	5.2x	4.3x	17.8%	+3.0%
CB	Chubb Limited	\$130.10B	11.9x	10.6x	18.5%	+10.2%
BRK-B*	Berkshire Hathaway Inc	\$1.06T	14.7x	-2.2x	19.3%	+4.4%

* Subject company. Trades at a discount on p/b vs peers; stronger profitability than peers. Modest revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.